
SLOVENIA
2006

1. Overview of the tax-benefit system

1.1. Average Worker wage (AW)

In 2006 in Slovenia average monthly gross earnings for activities C to K (see the underneath table) amounted to SIT 273,274¹ (annual value SIT 3,279,288)

Average monthly gross earnings per person employed by activity¹⁾

Activities	1991	1995	2000	2001	2002	2003	2004	2005	2006
TOTAL	16823	111996	191669	214561	235436	253200	267571	277279	290635
TOTAL (C to K)								259234.58	273274
A Agriculture, hunting and forestry	18437	107492	171669	185550	196299	207565	217554	224225	236681
B Fishing	20487	108595	166131	172752	183110	197567	207828	218670	236027
C Mining and quarrying	19854	132222	218705	248031	274202	298122	326739	344670	360110
D Manufacturing	14729	92877	161296	178596	196077	211060	226029	238985	252162
E Electricity, gas and water supply	20715	133896	219212	250000	276788	299812	324344	353836	373743
F Construction	13103	94427	159541	173179	188882	204316	218781	224794	238698
G Wholesale, retail; certain repair	18126	113009	173119	189609	207040	222101	237002	244880	258521
H Hotels and restaurants	13599	107945	150527	165159	178073	189230	200054	202895	211873
I Transport, storage and communication	18734	125267	208417	232483	251515	272238	290603	299377	310080
J Financial intermediation	26486	168555	279107	313370	339900	370832	392954	413896	443595
K Real estate, renting & business activities	19839	127893	207803	233439	253928	273716	288965	292763	304295
L Public administ. & defence; comp. soc. sec.	24063	146640	244662	278826	299889	321502	322912	333302	343572
M Education	19477	118972	220572	255222	288029	309968	326002	340967	357301
N Health and social work	17955	128835	224575	253131	295319	308013	312423	316827	325245
O Other social and personal services	20330	146112	245579	273443	293759	307184	325541	325159	332137

¹ AW refers to the Average Wage estimated by national experts in accordance with the Centre for Tax Policy and Administration guidelines. For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

Not classified 8560 - - - - -

1) Source: SORS ZAP/M, monthly survey

2. Unemployment insurance

Statutory basis for unemployment insurance is “Employment and Insurance in the Case of Unemployment Act” (*Zakon o zaposlovanju in zavarovanju za primer brezposelnosti*) (Official gazette RS, no. 79/2006).

2.1 Conditions for receipt

Payable for any registered unemployed person who is actively seeking full-time work.

Unemployment benefit conditions :

- involuntary unemployment (i.e. through no fault of their own or against his/her own will),
- fulfilment of a minimum period of insurance,
- registration at the Employment Service of Slovenia (regional unit or branch office),
- application for benefit within 30 days of the termination of employment,
- capable of work,
- available to Employment Service (3 hours per day),
- actively seeking employment.

2.1.1 Employment conditions

Unemployment Benefit qualifying period:

- at least 12 months of employment with the same or different employers during the previous 18 months (full time equivalent),
- at least 12 months of insurance during the previous 18 months for seasonal workers employed for a definite period of time after conversion of working hours into the full time equivalent.

2.1.2 Contribution conditions

Compulsory insurance for employees (apprentices included). Voluntary insurance for :

- self-employed,
- owners of enterprises that are not insured on any other basis,
- citizens, employed by a foreign employer in a foreign country, who, upon return, cannot exercise their rights in case of unemployment on any other basis,
- spouses of citizens of the Republic of Slovenia employed abroad, if the spouse was employed in the Republic of Slovenia before departure abroad.

2.2 Calculation of benefit amount

Earnings taken as reference are person’s average monthly earnings (no ceiling) received during the 12 months before the termination of employment, including compensation of salary (health insurance or old-age and invalidity insurance). If the person was not receiving any payment, then their basic wage (increased by any bonuses that they would have received) is taken as a reference.

2.2.1 *Calculation of gross benefit*

Unemployment benefits rates:

- first three months: 70% of the reference basis,
- following months: 60% of the reference basis.

Minimum: at least 45,56% of the Minimum wage in RS (*minimalna plaća*) net of taxes and contributions. Until 31 July 2006 this amount was SIT 122.600 (EUR 511,60) and from 1st August 2006 125.052 (EUR 521,83) (see 3.1) per month. Maximum: 3 times minimum unemployment benefit.

2.2.2 *Income and earnings disregards*

Reasons for termination of the entitlement to benefits are defined by the law (11 reasons), mainly related to not being available for work, not searching work and unjustifiably declining employment, temporary work, measures of training and education or other measures for reemployment, working illegally (moonlighting).

In some other cases defined by the law the amount of benefit may be reduced.

2.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment Benefits are subject to taxation.

2.4 *Benefit duration*

Unemployment benefit duration depends upon length of insurance:

- 3 months for insurance of 1 to 5 years,
- 6 months for insurance of 5 to 15 years,
- 9 months for insurance of 15 to 25 years,
- 12 months for insurance of 25 years or more,
- 18 months for insured persons over 50 years of age and insurance period of more than 25 years,
- 24 months for insured persons over 55 years of age with on insurance period of more than 25 years.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None

2.5.2 *Older workers*

The duration of unemployment insurance is prolonged for unemployed persons aged 50 or more.

Unemployment Extension of payment of pension fund contribution :

- citizen or foreigner with permanent residence and a work permit,

- less than 3 years to the fulfilment of conditions for retirement.

2.5.3 *Others if applicable*

An insured person, who seeks a full-time job but enters a contract on employment for for part-time job, is entitled to receive unemployment benefit for the remaining time of entitlement to such benefit.

3. **Unemployment assistance**

Rights to unemployment assistance are not regulated in Statutory basis for unemployment assistance is “Employment and Insurance in the Case of Unemployment Act” (*Zakon o zaposlovanju in zavarovanju za primer brezposelnosti*) (Official gazette RS, no. 79/06) since 27.7.2006.

Before 27.07.2006 Statutory basis for unemployment assistance is “Employment and Insurance in the Case of Unemployment Act” (*Zakon o zaposlovanju in zavarovanju za primer brezposelnosti*) (Official gazette RS, no. 5/1991...67/2002).

3.1 **Conditions for receipt**

Paid after rights to unemployment insurance have expired. Unemployment assistance is applicable for registered unemployed persons whose rights to receive unemployment insurance have expired and income per family member is lower than 80% of Statutory Reference Amount of SIT 55 853 (gross) per month for the last 3 months.

Unemployment assistance conditions :

- fulfilment of a minimum period of insurance,
- registration at the Employment Service of Slovenia (regional unit or branch office),
- capable of working, actively seeking employment but cannot find suitable work.

3.1.1 *Employment conditions*

Unemployment assistance qualifying period:

- at least 12 months of employment with the same or different employers during the previous 18 months (full time equivalent),
- at least 12 months of insurance during the previous 18 months for seasonal workers employed for a definite period of time after conversion of working hours into the full time equivalent.

3.1.2 *Contribution conditions*

3.2 **Calculation of benefit amount**

3.2.1 *Calculation of gross benefit*

Equal to 80% of Statutory Reference Amount

3.2.2 *Income and earnings disregards*

3.3 Tax treatment of benefit and interaction with other benefits

Benefits are not subject to taxation

3.4 Benefit duration

May be granted for a maximum of 15 months (or 3 years if the conditions for Old-age Pension are fulfilled during this period).

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

Financial social assistance is a residual social benefit which acts as a final safety-net. It is designed as a minimum needed to cover the costs of most needed issues: food, clothes, heating, hygiene & minor-basic health-care costs, etc.

4.1 Conditions for receipt

Social assistance is paid conditionally on passing a means test. The need for social assistance is estimated each time case by case.

To provide financial assistance to individuals and families who are temporarily unable to secure sufficient funds for basic subsistence according to statutory criteria. Social Work Centre (*Center za socialno delo*) may grant Financial Social Assistance (*denarna socialna pomoč*) to help alleviate temporary material hardship of those without sufficient subsistence means.

Beneficiaries are: all permanent residents, as well as those entitled on a basis of international agreements ratified by the Republic of Slovenia.

Financial Social Assistance (*denarna socialna pomoč*) is granted to family members and to single persons. As family member claimants are defined: spouse or cohabitant, claimant's children, stepchildren for the duration of his/her obligation to care for them, parents and stepparents, orphaned grandchildren, nephews and nieces of the claimant, if she/he has to support them.

In 2006 Act on Social Assistance was modified and come into force from 2007. Beneficiaries/recipients of Financial Social Assistance are now obliged to accept all kind of offered employment or work activities (8h/week, max. 56h/month) in non-profit sector for which they are able (physically and mentally).

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The level of Financial Social Assistance (*denarna socialna pomoč*) is linked to the Basic Minimum Income (*minimalni dohodek*) determined by and adjusted in accordance with the Social Protection Act (*Zakon o socialnem varstvu*, Official gazette 36/04) once a year. In 2005, the Basic Minimum Income (BMI) amounts to: SIT 46.981.

Families are entitled, if their total monthly income does not exceed the following thresholds:

- First adult and single person: 100% of the BMI = SIT 48.062,00
- Every next adult: 70% of the BMI = SIT 33.643,40
- Child up to 18 years of age: 30% of the BMI = SIT 14.418,60

The monthly amount of Financial Social Assistance (*denarna socialna pomoč*) is defined as the difference between corresponding thresholds and total income of family (family members), according to the above mentioned rules.

Rent amounts (table below) are set by law and refer to upper limits for the six household types.

	2005 (in SIT)	2006 (in SIT)
1 person	18213	20130
2 persons	25641	28517
3 persons	31393	34748
4 persons	37144	41218
5 persons	42896	47449
6 persons	48647	53679

4.2.2 Income and earnings disregards

"Income taken into account" includes inheritance, gifts, income from agricultural and entrepreneurial activities and all wages and earnings of an individual or his family members which are subject to income tax, as well as non-taxable personal earnings, with the few exceptions (scholarships, alimony, child benefits,...),

Financial Social Assistance (*denarna socialna pomoč*) will not be granted; if savings or property (with some exceptions) exceeds the level of 35 times the BMI (the national BMI 2006 amounts to SIT 48.062).

4.3 Tax treatment of benefit and interaction with other benefits

Financial social assistance is delivered as net income and is not taxable.

Financial social assistance is taken into account as income when child benefits are calculated.

4.4 *Benefit duration*

The duration of Financial Social Assistance (*denarna socialna pomoč*) may not exceed a period of 3 months when granted for the first time or 6 months, if circumstances remain unchanged. In special cases (persons above 60 years and other relevant circumstances) benefit may be granted for a maximum of 12 months. Permanent assistance is used for those whose social status is not likely to improve.

4.5 *Treatment of particular group*

Financial Social Assistance (*denarna socialna pomoč*) is given primarily to the family as a whole. No other conditions relating to age.

4.5.1 *Young persons*

Assistance is also given to single persons aged over 18 years, who are neither married nor cohabiting and have no children. If they have children, than they are treated as family.

4.5.2 *Older workers*

No special treatments.

4.5.3 *Others if applicable*

For a single-parent family the financial social assistance – the level of minimum income is increased by an additional 30% of the BMI.

There is also an SA increase which is rent-related. See section 5 for details.

5. Housing benefits

Housing benefits are under the competence of the Ministry for environment and spatial planning and are defined in the Housing Act (Stanovanjski zakon, Official gazette 69/2003 and 18/2004 ZVKSES) that was put in force on October 2003, while a new system of housing benefits was put in force on 1st January 2005. The act among others regulates formation of the non-profit rents and housing benefits. Proposal on changes and completion of the housing act is under discussion since 7.7.2005.

Analysis of paid subsidies:

Year	Paid subsidies (mio Sit)	Number of claimants	Average monthly subsidy in Sit (in Eur)
2004	1,210	6,900	14,614 (€61)
2005	930	5,400	14,352 (€60)
2006	1,163	5,700	17.025 (€ 71)

Source: Ministry for environment and spatial planning

5.1 Conditions for receipt

Admission census:

Size of the Household	Average household income per month (SIT)	Average household income per month (€)
1 member	up to 90,000	up to 375
2 members	up to 150,000	up to 625
3 members	up to 180,000	up to 750
4 members	up to 210,000	up to 875

5.2 Calculation of benefit amount

Housing benefits depends on the claimant's income and amounts in a range 1% to 80% of the rent for apartment (compulsory 20% minimum payment by claimant). Subsidy is calculated according to the size of apartment defined as appropriate for social apartments and it depends also on the number of the household members.

Beneficiary must pay 20% of the rent and if beneficiary's ability of rent payment is below 20% then beneficiary is entitled for HB in amount of 80% of the rent. If beneficiary's ability is more than 20% of the rent then beneficiary is entitled for HB in amount of difference between the ability and rent.

5.3 Tax treatment of benefit and interaction with other benefits

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

Standards for the size of non-profit apartment and for housing benefit claimant :

1 person: 20-30m2
2 persons: 30-45 m2
3 persons: 45-55 m2
4 persons: 55-65 m2
5 persons: 65-75 m2
6 persons: 75-85 m2
for further member +6m2

In the year 2006 was the average housing subsidy SIT 17.025 or EUR 71.

6. Family benefits

6.1 Conditions for receipt

The claimant (one of the parent or another person for a child) must have a dependent child aged under 18, or under 26 if is still in education or the child is over 18 and has no parents or does not live in a joint household with parents, if the Centre of social work decides so on the basis of the circumstances.

6.2 Calculation of benefit amount

The aim of child benefit is to provide parents or the child supplementary income for living, raising and education when the income per family members does not exceed the maximum limit of income class. For the purposes of family benefits, income is defined as earned income plus unemployment benefits, but excludes family benefits. All included amounts are gross income, not net (after tax) income.

6.2.1 Calculation of gross benefit

Child benefit amounts in 2006 to (in EUR per month):

Income per family member in % of the average monthly wages of all employees	Amount of child benefit for each child		
	1 st child	2nd child	3rd child and subsequent child
up to 15%	92,14	101,36	108,08
over 15% to 25%	78,78	87,09	95,35
over 25% to 30%	60,05	67,10	74,15
over 30% to 35%	47,36	54,04	60,84
over 35% to 45%	38,72	45,19	51,62
over 45% to 55%	24,54	30,71	36,85
over 55% to 75%	18,40	24,54	30,71
over 75% to 99%	16,02	22,16	28,29

If a pre-school child does not attend kindergarten in accordance with the regulations for kindergartens, the amount of the child benefit is increased by 20%.

In addition to child benefit there are following supplementary allowances available:

Child birth allowance – one-time assistance at childbirth (financial assistance – amount 244,16 EUR in 2006 - or a package for the newborn)

Parental allowance - financial assistance (365 days after the birth of a child) to parents when they are not entitled to parental compensation after the birth of the child. In the year 2006 parental allowance amount to 170,88 EUR per month.

Large family allowance is an annual benefit for families with three or more children. In 2006 large family allowance amount to 341,80 EUR and is paid as a lump sum payment.

Partial payment for lost income. Partial payment for lost income is a personal benefit to one of the parents who has terminated his or her employment or started to work short time in order to care and safeguard a child with severe disturbance in mental development or severe disability in movement. The monthly amount of partial payment for lost income is the minimum wage for which the person concerned pays social security contributions.

6.2.2 *Income and earnings disregards*

Child benefit is defined as percentage from the average monthly wage of all employees in the Republic of Slovenia for the calendar year before the application is filed and is tested once a year. The amount of the child benefit also depends on the number of children in the family receiving child benefit.

6.4.3 *Others if applicable*

Lone parents: The amount of child benefit is increased by 10% (only for child benefit (6.2.1 page 10))

Special Child Care Allowance for a Child in Need of Special Care: Additional allowance. The monthly amount of special care allowance is in 2006 87,88 EUR. For a child with severe disturbances in mental development and children with severe disability in movement, who need special care, the allowance is 175,80 EUR.

7. Childcare for pre-school children

Pre-school education, offered by pre-school institutions, is not compulsory. It includes children between the ages of 1 and 6. 63.6% of all children of the proper age were included in kindergartens in the school year 2005/2006. The curriculum is divided in two cycles (from 1 to 3 and from 3 to 6). The new curriculum promotes different types of programme such as: day, half-day and short programmes. There is also possibility of childminders, pre-school education at home or occasional care of children in their homes. The Curriculum for Pre-school Institutions was approved by Council of Experts and it defines six areas of activities: movement, language, art, nature, society and mathematics. The goals set in individual fields of activities provide the framework for selection of contents and activities by teachers.

Basic education has been extended from eight years to nine..

7.1 Out-of-pocket childcare fees paid by parents

Ministry of Education and Sport and Local community are responsible for giving the answer about specifications about costs in mentioned institutions.

Ministry of Finance is responsible for giving the information about taxes.

7.2 Child-care benefits

7.2.1 Conditions for receipt

The right to child benefit shall be granted to one of the parents or another person for a child who live registered in the Republic of Slovenia when the income per family member does not exceed the maximum limit of income class pursuant to Parental Protection and Family Benefits Act.

The child shall be a person until the age of 18, or older if she or he attends school for as long she or he has the status of a pupil, apprentice or undergraduate student, but only until the age of 26 at the latest.

The right to child benefit shall not be granted to one of the parents for the child who in order to obtain education, schooling or training lives in an institution which provides fulltime care free of charge.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

Gross income includes all the incomes which are subject to personal income tax, transfer income and all other income which is described in the 73. Article of the Parental Protection and Family Benefits Act.

The average monthly income per family member shall be calculated by dividing the family's joint income with the number of months to which income relates and the number of the family members pursuant to the Parental Protection and Family Benefits Act

7.2.2.2 Income and earnings disregards

Families shall be classified into individual classes on the grounds of the average monthly income per family member in the preceding calendar year. When the right to child benefit is applied for in January, February or March, the average monthly income per family member in the calendar year before last shall be taken into account.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Ministry of Finance is responsible for giving the information about taxes.

7.2.4 *Treatment of particular groups*

The amount of the child benefit shall be laid down on the basis of family placement in the income class and the number of the children. The child benefit for the child who lives in a single-parent family shall be increase by 10%.

8. Employment-conditional benefits

1. Employment rehabilitation.

Persons with disability are eligible for employment rehabilitation programme including services for persons with disability for counselling, motivating and empowering persons with disability for taking active part in their employment lives, making assessment on working abilities, knowledge, skills and professional interests, psychosocial rehabilitation and informing of options in labour market, follow-up of social and working environment, helping to find proper job, helping for developing professional goals and social skills, analysis of working environment, analysis of required technology in working environment, training for specific job.

Eligibility depends on:

- Whether there is influence of the effects of physical or mental disability or disease on an individual.
- Needs for services of employment rehabilitation as a part of whole rehabilitation.
- Level of employability by adapting working environment or using of modern technology.
- Assessment of social or working environment.

2. Allowance

Persons with disability who participate in programme of employment rehabilitation are eligible for temporary allowance to compensate loss of income for the time of participation. Allowance also includes travel and accommodation expenses of the participants.

Employment service of Slovenia has the authority to decide about the entitlement of the status or rights of persons with disability.

3. Subsidy of salary

Persons with disability are eligible for compensation of lower incomes due to their lack of productivity.

The subsidy is intended for employees with disability in protected and supported work places. 30-70% of salary is intended for those employed in protected work places, 5-30% of salary for those in supported employment and 5-30% of salary for those employed in companies for persons with disability. Subsidy is dependent on level of disability.

The entitlement for subsidy is decided upon Foundation for promoting employment of persons with disability.

8.3 Tax treatment of benefit and interaction with other benefits

N/A

8.4 *Benefit duration*

Benefit duration is dependent on duration of the participating in Programme of employment rehabilitation, whilst subsidy is not limited.

9. Lone-parent benefits

(see chapter 6 on Family benefits)

10. Tax system

Tax system consists of central government level, local communities level and social contributions.

10.1 Personal Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

- 1 Standard allowance of 604.330 in tolar (in 2006) is granted to any Slovene resident.
- 2 Special deduction for voluntary additional pension insurance: amounts of premium paid by a taxpayer or his employer but no more than 24% of compulsory contributions for pension insurance paid by a taxpayer but no more than 560.937 tolar annually (for 2006).
- 3 Relief for work related expenses:
 - travelling to the work (up to the costs of public transport)
 - meal during the work (up to 1300 tolar per day)
 - daily allowance for expenses during business travel
 - expenses for business travel (documented)
 - expenses for hotel (documented)

10.1.1.2 Standard tax credits

There is no standard tax credit.

Residents receiving pensions and compensation for disability from social security system (pension and disability) are granted a tax credit in an amount equal to 14,5% of their pension.

10.1.2 Income tax schedule

- Tax schedule for the year 2006 is: in SIT

Taxable base

Over	To	Taxes
	1.327.300	16%
1.327.300	2.593.340	212.368 + 33% over 1.327.300
2.593.340	5.247.940	630.161 + 37% over 2.593.340
5.247.940	10.546.930	1.612.363 + 41% over 5.247.940
10.546.930		3.784.949 + 50% over 10.546.930

10.1.3 State and local income taxes

There is no personal income tax on the local level.

10.2 Treatment of family income

Tax unit is an individual.

Family allowances are granted to residents who support their family members:

- 1 An allowance of 484.873 tolar is given for the first dependent child. For each subsequent child this amount is raised (by 42.167 tolar for the second child; by 217.881 tolar for the third child; by 393.596 tolar for the fourth child; by 569.310 tolar for the sixth child and by 175.612 tolar for any subsequent children)
- 2 1,756.937 tolar for dependent child who require a special care
- 3 484.873 tolar for any other dependent family member.

Family allowance for a dependent child can be granted only to one taxpayer (parent), the other can use only a difference to the granted allowance.

10.3 Social security contributions and payroll taxes

10.3.1 Contributions paid by employees

[please describe the rules used to calculate contributions paid by **employees** as well as **benefit recipients**]

[please also indicate employee's insurance contributions that are compulsory but not regarded as a tax, if applicable (e.g. compulsory private health insurance). See Annex for details on this distinction.]

10.3.2 Contributions paid by employers

[please describe the rules used to calculate contributions paid by **employers**]

[please also indicate employee's insurance contributions that are compulsory but not regarded as a tax, if applicable (e.g. compulsory private health insurance). See Annex for details on this distinction.]

There are four rates of contribution that apply to employers and employees for the four social security schemes.

Contribution rates for social security

Fund	Employee (%)	Employer (%)
Pension insurance	15.50	8.85
Health insurance	6.36	7.09
Unemployment	0.14	0.06
Maternity leave	0.10	0.10
Total	22.10	16.10

10.3.3 Payroll taxes

[This heading covers taxes paid by employers, employees [...] either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. See Annex for details].

Tax on payroll is regulated by Tax on paid wages act (Zakon o davku na izplačane plače), come into force 1 January 2006. Tax on wages is paid by employer as follows:

Monthly gross wages	Tax
To SIT 165,000 (EUR 688.53)	0 %
Over SIT 165,000 to SIT 400,000 (over EUR 688.53 to EUR 1,669.17)	3.0%
Over SIT 400,000 to SIT 750,000	6.3%

(over EUR 1,669.17 to EUR 3,129.69)	
Over SIT 750,000 (over EUR 3,129.69)	11.8%

10.4 *Treatment of particular group*

10.4.1 *Young persons*

Resident students are granted special allowance of 1,225.200 tolars for temporary work.

10.4.2 *Older workers*

No special regime

10.4.3 *Others if applicable*

Personal allowances are granted to the:

1. residents, older than 65 years old (281.081 tolars in 2006)
2. residents-disabled persons (3,513.772 tolars in 2006)

Special personal allowances are granted to: residents - artists and journalists - in an amount equal to 15% of their gross income, to the amount of 6 milion tolars of his gross income.

11. *Part-time work*

11.1 *Special benefit rules for part-time work*

11.2 *Special tax and social security contribution rules for part-time work*

12 Policy developments

Among the tasks of the social partners, **the valid social agreement (for the period 2003-2005)** also defines especially the coordination of working and family life, and the same task is also set out by the draft social agreement for the period 2006-2009. The state will encourage flexible forms of employment and encourage employers to become family-friendly enterprises.

With the new legislation in the area of **parental protection and family benefits (Parental Protection and Family Benefits Act)**, which was adopted in 2003, the conditions are gradually being established for the higher-quality coordination of professional and family obligations, and the encouragement of equal responsibility of both parents. Here we have in mind primarily **leave to care for a child**, which can be taken by both parents through their own agreement (265 days), the **father's right to 77 days maternity leave** if the mother is under 18, **paternity leave lasting 90 days** with benefit (paternity benefit lasting 15 days) and with contributions paid (for other days the state provides payment of social security contributions based on the minimum wage) and **reduced working hours** with the assurance of pay for actual work duties and payment of social security contributions. The state also provides partial compensation for families and children, such as the **parental allowance** when the parents are not eligible for parental benefit, as cash assistance intended for parents lasting as long as parental leave (365 days) and the **large family allowance** as an annual receipt for families that have three or more children under 18, or under 26 if they are in full time education with the status of pupil, apprentice or student.

12.1 Policy changes introduced during 2005

No special policy changes in the part of tax and social security regime for income from employment and unincorporated businesses were introduced in 2005.

Future policy changes announced in 2005

Unemployment assistance with the new Act of employment ceased to exist in the year 2006.

Policy changes in the part of tax and social security regime, which are under consideration, are planned for the year 2007.

In 2005 the Slovenian Government plans amendments and supplements to the *Parental Protection and Family Benefits Act* whereby it wishes to introduce certain additional privileges for employed parents (such as subsidies for employing parents where the employer gives a job to a mother or father who is caring for and raising at least one preschool child, where they use all their leave to care for their child, or re-employs an unemployed person caring for and raising at least one child who is not yet 7 years old, or employs part-time a person caring for and raising at least one child who is not yet 7 years old or is caring for a child with serious motor impairment or with moderate to serious mental disability who is not yet 18 years old), more favourable paternity leave, a higher threshold for calculating parental supplements, incentives for earlier maternity and family life, more favourable conditions for parental supplements, the introduction of a care and education supplement for preschool children not attending preschool or kindergarten and being cared for by one parent, a close relative or person or other institution, and increasing the large family supplement for fourth and subsequent children. We are in the process of amending the National Housing Saving Scheme Act in order to grant access to subsidies to the largest possible number of young families. A new Family Code is also being drafted.

We also give special emphasis to the status of children and their interests. The *National development programme for improving the status of children and youth in Slovenia for the period 2005-2015*, which is currently in the drafting stage, covers the following headings: health and a healthy way of life among children, family policy, access to quality education for all children, changing social services in

support and help for children and their families, the fight against poverty and social exclusion, social concern for children, protection of children from neglect, violence and abuse, preventing use and protection of children from drugs, quality leisure time, planning children-friendly towns, the influence and role of the mass media, information for and the participation of children, and other areas. The national programme will define the activities of the Slovenian Government in this area, which will accord with the Government's programme addressed by the end of 2005.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers, employees [...] either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.